

was seen as impervious to ordinary economic cycles. In 2022, however, one high-flying technology company after another reported slowing revenues and/or profits, increased competition, and pressure from the slowing economy and worldwide supply interruptions; in other words, all of the same pressures faced in other industries. *The Economist* magazine was moved to wonder whether the era “of big tech exceptionalism” was over.⁴²

A Graham-and-Dodd investor would bet neither for nor against such a broad-brush proposition. The Graham discipline teaches bottom-up securities selection based on research into specific securities. Ultimately, what counts is prospective earnings and free cash flow deduced with a reliable margin of safety. Absent such assurance, Graham counseled, securities were not investments at all; they were speculations. Meme stocks, the excesses in private equity valuations, SPACs, crypto, and high-leverage lending by phony crypto banks, were all variations on this speculative theme. Perhaps securities markets, captive to some faulty wiring in human behavior, are bound forever to repeat such follies. Perhaps human society will be capable of making modest improvements. Until that day, the reader of this volume will profit no less than the reader in 1934. As the review of *Security Analysis* that appeared in the *New York Times* said: “On the assumption that despite the debacle of recent history there are still left people whose money burns a hole in their pockets, it is to be hoped that they will read this book. It is a full-bodied, mature, meticulous, and wholly meritorious outgrowth of scholarly probing and practical sagacity.”⁴³

⁴² “The Era of Big-Tech Exceptionalism May Be Over.”

⁴³ Louis Rich, “Sagacity and Securities,” *New York Times*, December 2, 1934.